

COMMITTEE ON WAYS & MEANS
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4037
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 43-222, Arizona Revised Statutes, is amended to
3 read:

4 43-222. Income tax credit review schedule

5 The joint legislative income tax credit review committee shall
6 review the following income tax credits:

7 1. For years ending in 0 and 5, sections 43-1079.01, 43-1088,
8 43-1089.04, 43-1167.01 and 43-1175.

9 2. For years ending in 1 and 6, sections 43-1072.02, 43-1073.02,
10 43-1074.02, ~~43-1075~~, 43-1076.01, 43-1077, 43-1078, 43-1083, 43-1083.02,
11 43-1162, 43-1164.03 and 43-1183.

12 3. For years ending in 2 and 7, sections 43-1073, 43-1082, 43-1085,
13 43-1086, 43-1089, 43-1089.01, 43-1089.02, 43-1089.03, 43-1164,
14 43-1165, ~~43-1165~~ and 43-1181.

15 4. For years ending in 3 and 8, sections 43-1074.01, 43-1168,
16 43-1170 and 43-1178.

17 5. For years ending in 4 and 9, sections 43-1073.01, 43-1081.01,
18 43-1083.03, 43-1084, 43-1164.04, 43-1164.05 and 43-1184.

19 Sec. 2. Section 43-323, Arizona Revised Statutes, is amended to
20 read:

21 43-323. Place and form of filing returns

22 A. All returns required by this title shall be in such a form as
23 the department may from time to time prescribe and shall be filed with the
24 department.

25 B. The department shall prescribe a short form return for
26 individual taxpayers who:

27 1. Are eligible and elect to pay tax based on the optional tax
28 tables pursuant to section 43-1012.

1 2. Elect to claim the optional standard deduction pursuant to
2 section 43-1041, subsection A, but not the increased amount for charitable
3 deductions under section 43-1041, subsection I.

4 3. Elect not to file for credits against income tax liability other
5 than those contained in sections 43-1072, 43-1072.01, 43-1072.02, 43-1073,
6 ~~and~~ 43-1073.01 **AND 43-1073.02.**

7 4. Are not required to add any income under section 43-1021 and do
8 not elect any subtractions under section 43-1022, except for the
9 exemptions allowed under section 43-1023.

10 C. The department may provide a simplified return form for
11 individual taxpayers who:

12 1. Are eligible and elect to pay tax based on the optional tax
13 tables pursuant to section 43-1012.

14 2. Are residents for the full taxable year.

15 3. File as single individuals or married couples filing joint
16 returns under section 43-309.

17 4. Are not sixty-five years of age or older or blind at the end of
18 the taxable year.

19 5. Claim no exemptions under section 43-1023 for the taxable year.

20 6. Elect to claim the optional standard deduction under section
21 43-1041, subsection A, but not the increased amount for charitable
22 deductions under section 43-1041, subsection I.

23 7. Are not required to add any income under section 43-1021 and do
24 not elect to claim any subtractions under section 43-1022 or file for any
25 credits under chapter 10, article 5 of this title, except the credits
26 provided by sections 43-1072.01, 43-1072.02, ~~and~~ 43-1073, **43-1073.01 AND**
27 **43-1073.02.**

28 8. Do not elect to contribute a portion of any tax refund as
29 provided by any provision of chapter 6, article 1 of this title.
30 Notwithstanding any provision of chapter 6, article 1 of this title, a
31 simplified return form under this subsection shall not include any space
32 for the taxpayer to so contribute a portion of a refund.

33 D. The department shall prepare blank forms for the returns and
34 furnish them on request. Failure to receive or secure the form does not
35 relieve any taxpayer from making any return required.

36 E. An individual income tax preparer who prepares more than ten
37 original income tax returns that are timely filed during any taxable year
38 that begins from and after December 31, 2017 shall file electronically all
39 individual tax returns prepared by that tax preparer, for that taxable
40 year and each subsequent taxable year. An individual income tax preparer
41 may not charge a separate fee to the taxpayer for filing a return using
42 the department's electronic filing program. This subsection does not
43 apply if the taxpayer elects to have the return filed on paper or if the
44 return cannot be filed electronically for reasons outside of the tax
45 preparer's control.

46 F. Fiduciary returns, partnership returns, withholding returns and
47 corporate returns shall be filed electronically for taxable years

1 beginning from and after December 31, 2019, or when the department
2 establishes an electronic filing program, whichever is later. Any person
3 who is required to file electronically pursuant to this subsection may
4 apply to the director, on a form prescribed by the department, for an
5 annual waiver from the electronic filing requirement. The director may
6 grant the waiver, which may be renewed for one subsequent year, if any of
7 the following applies:

8 1. The taxpayer has no computer.

9 2. The taxpayer has no internet access.

10 3. Any other circumstance considered to be worthy by the director
11 exists.

12 G. A waiver is not required if the return cannot be electronically
13 filed for reasons beyond the taxpayer's control, including situations in
14 which the taxpayer was instructed by either the internal revenue service
15 or the department of revenue to file by paper.

16 Sec. 3. Title 43, chapter 10, article 5, Arizona Revised Statutes,
17 is amended by adding section 43-1073.02, to read:

18 43-1073.02. Education opportunity tax credit; rules;
19 definition

20 A. FOR TAXABLE YEARS BEGINNING FROM AND AFTER DECEMBER 31, 2025, A
21 CREDIT IS ALLOWED AGAINST THE TAXES IMPOSED BY THIS CHAPTER FOR EACH
22 QUALIFYING CHILD OF A TAXPAYER AS PROVIDED BY THIS SECTION.

23 B. THE AMOUNT OF THE CREDIT IS:

24 1. FOR A QUALIFYING CHILD WHO WAS NOT ENROLLED IN A PUBLIC
25 SCHOOL[,] ~~[AND]~~ DID NOT PARTICIPATE IN AN ARIZONA EMPOWERMENT SCHOLARSHIP
26 ACCOUNT PURSUANT TO SECTION 15-2402 [AND DID NOT RECEIVE AN EDUCATIONAL
27 SCHOLARSHIP OR TUITION GRANT FROM A SCHOOL TUITION ORGANIZATION PURSUANT
28 TO CHAPTER 15 OR 16 OF THIS TITLE] DURING THE TAXABLE YEAR, EQUAL TO
29 EIGHTY PERCENT OF THE AMOUNT OF THE BASE SUPPORT LEVEL AS DETERMINED BY
30 SECTION 15-943 FOR THE QUALIFYING CHILD OF THE TAXPAYER.

31 2. FOR A QUALIFYING CHILD WHO WAS ~~[EITHER]~~ ENROLLED IN A PUBLIC
32 SCHOOL[,] ~~[OR]~~ PARTICIPATED IN AN ARIZONA EMPOWERMENT SCHOLARSHIP ACCOUNT
33 PURSUANT TO SECTION 15-2402 [OR RECEIVED AN EDUCATIONAL SCHOLARSHIP OR
34 TUITION GRANT FROM A SCHOOL TUITION ORGANIZATION PURSUANT TO CHAPTER 15 OR
35 16 OF THIS TITLE] FOR NOT MORE THAN FIFTY PERCENT OF THE INSTRUCTIONAL
36 DAYS OF THE TAXABLE YEAR, EQUAL TO FORTY PERCENT OF THE AMOUNT OF THE BASE
37 SUPPORT LEVEL AS DETERMINED BY SECTION 15-943 FOR THE QUALIFYING CHILD OF
38 THE TAXPAYER.

39 C. IF THE ALLOWABLE AMOUNT UNDER SUBSECTION B OF THIS SECTION
40 EXCEEDS THE TAXES OTHERWISE DUE UNDER THIS TITLE FOR THE TAXABLE YEAR,
41 AFTER APPLYING ALL OTHER CREDITS TO WHICH THE CLAIMANT MAY BE ENTITLED AND
42 AFTER ANY SETOFF UNDER SECTION 42-1122, THE EXCESS AMOUNT SHALL BE PAID IN
43 THE SAME MANNER AS A REFUND UNDER SECTION 42-1118.

44 D. THE DEPARTMENT OF REVENUE SHALL ADOPT RULES AND PRESCRIBE FORMS
45 TO ADMINISTER THIS SECTION AND MAY CONSULT WITH THE DEPARTMENT OF
46 EDUCATION TO DETERMINE WHETHER A QUALIFYING CHILD OF A TAXPAYER WHO IS
47 CLAIMING THE CREDIT UNDER THIS SECTION WAS ENROLLED IN A PUBLIC SCHOOL OR

1 PARTICIPATED IN AN ARIZONA EMPOWERMENT SCHOLARSHIP ACCOUNT PURSUANT TO
2 SECTION 15-2402.

3 E. FOR THE PURPOSES OF THIS SECTION, "QUALIFYING CHILD" MEANS A
4 CHILD WHO:

5 1. IS A DEPENDENT OF THE TAXPAYER AS DEFINED IN SECTION 152 OF THE
6 INTERNAL REVENUE CODE.

7 2. IS ELIGIBLE TO ENROLL IN A PUBLIC SCHOOL IN THIS STATE BUT WAS
8 NOT ENROLLED IN A PUBLIC SCHOOL IN THIS STATE FOR MORE THAN FIFTY PERCENT
9 OF THE INSTRUCTIONAL DAYS DURING THE TAXABLE YEAR.

10 3. DID NOT PARTICIPATE IN AN ARIZONA EMPOWERMENT SCHOLARSHIP
11 ACCOUNT PURSUANT TO SECTION 15-2402 FOR MORE THAN FIFTY PERCENT OF THE
12 INSTRUCTIONAL DAYS DURING THE TAXABLE YEAR.

13 [4. DID NOT RECEIVE AN EDUCATIONAL SCHOLARSHIP OR TUITION GRANT
14 FROM A SCHOOL TUITION ORGANIZATION PURSUANT TO CHAPTER 15 OR 16 OF THIS
15 TITLE FOR MORE THAN FIFTY PERCENT OF THE INSTRUCTIONAL DAYS DURING THE
16 TAXABLE YEAR.]

17 Sec. 4. Purpose

18 Pursuant to section 43-223, Arizona Revised Statutes, the
19 legislature enacts section 43-1073.02, Arizona Revised Statutes, as added
20 by this act, to open and improve the statewide educational landscape by
21 providing additional stronger educational choices for families in this
22 state.

23 Enroll and engross to conform

24 Amend title to conform

And, as so amended, it do pass

JUSTIN OLSON
CHAIRMAN

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